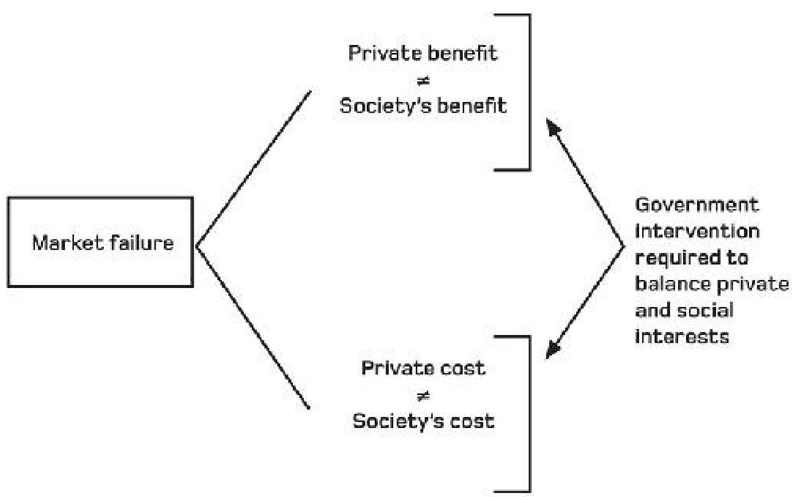
Market failure

Under certain conditions, markets can give rise to efficient allocations of goods (beyond which it is impossible to make a person better off without hurting someone else). When such conditions are not met, market failure arises. One condition for efficiency is competition: no buyer or seller should be able to influence the price of a good. So one market failure is lack of competition: if a monopoly controls the bread market, it can raise the price and supply less, creating an inefficiency. Another efficiency condition is that a market outcome only affects those participating in it: your purchase of a bunch of bananas doesn’t affect me, but suppose you buy a drum kit, forcing me to wear earplugs? Your action had an unintended consequence that was not taken into account in the price you paid for the drums. Economists call this kind of failure an ‘externality’.

Market failure is used to justify government intervention: for example, so-called ‘anti-trust’ policy deals with monopolies, while certain kinds of taxes can be used to offset externalities.



An important aim of public policy is to correct market failures